

MEMORANDUM OF UNDERSTANDING

This Memorandum of Understanding (MOU), by and between the Carbon Asset Network (CAN), located at 113 East 20th Street, Cheyenne, Wyoming 82001, and the City of Cheyenne (City), a municipal corporation existing under the laws of the State of Wyoming, located at 2101 O'Neil Avenue, Cheyenne, Wyoming 82001, is entered into and becomes effective on the date of the last signature affixed hereto.

WHEREAS, CAN was formed in 2020 as a resource for land managers through the help of nonprofits that support soil health, in order to empower the land managers to be a better steward of their land.

NOW, THEREFORE, the parties agree as follows:

1. Purpose. The purpose of this MOU is to set forth the terms and conditions agreed to by the parties regarding the partnership to empower the managers to be a better steward of their land.
2. Term. This MOU is effective until terminated by written agreement between the parties.
3. Process. CAN recruits land managers into CAN.
 - a. CAN and land manager will enter into a separate Memorandum of Understanding which will require that the land manager will receive funds in exchange for working their acreage in a more regenerative and sustainable manner for twelve (12) months.
 - b. CAN's agronomist will conduct extensive soil testing of the acreage and produce a report creating benchmarks for soil organic carbon and other soil elements. This sampling is "boots on the ground" sampling and not based on satellite imagery or

estimations, which are less granular and can only estimate 6 inches below the surface. The soil is, instead, sampled at 0 inches to 6 inches and 6 inches to 24 inches for a comprehensive test as native plant roots extend to at least 24 inches into the soil profile.

c. The agronomist will send soil samples to a certified lab, upon which their analysis will create a report establishing the carbon baseline. The results of the report will then be uploaded onto blockchain.

d. The land manager and CAN's agronomist will review the results and create together a regenerative plan that is customized based on soil content and land manager's goals.

e. The land manager will then execute this plan for twelve (12) months.

f. Sampling will occur again at the conclusion of the first twelve (12) months in the same locations as the first samples that were recorded by GPS. The results will then be posted to blockchain and the status of the soil organic carbon is then noted.

g. If the land manager chooses to continue, they meet with agronomist to amend the plan and then execute for another twelve (12) months, repeating for as long as both parties wish to continue.

h. CAN is responsible for all soil sampling, agronomy consultancy, lab analyses, and blockchain operations.

4. Expectations of City of Cheyenne.

The City will verify that CAN is executing the process outlined above.

5. Expectations of CAN

CAN will provide the City with the necessary documents to allow the City to verify the process outlined in paragraph 4 above. For serving as verifier of protocol, CAN will pay the

City two percent (2%) of the granted donations received from the nonprofit. CAN will complete the requirements of the process outlined in paragraph 3 above.

6. General Provisions.

a. Amendments. Any changes, modifications, revisions, or amendments to this MOU which are mutually agreed upon by the parties to this MOU shall be incorporated by written instrument, executed and signed by all parties to this MOU.

b. Assignment. No party may assign or transfer the responsibilities or agreements made herein without the prior written consent of the non-assigning parties, which approval shall not be unreasonably withheld.

c. Applicable Law. The construction, interpretation, and enforcement of this MOU shall be governed by the laws of the State of Wyoming. The courts of the State of Wyoming shall have jurisdiction over this MOU and the parties, and the venue shall be in the First Judicial District, Laramie County, Wyoming.

d. Compliance with Laws. The parties shall keep informed of and comply with all applicable federal, state, and local laws and regulations in the performance of this MOU.

e. Indemnification. Each party to this MOU assumes the risk of any liability arising from its own conduct. Each party agrees that it will be responsible for any loss, claim, damages, or demands resulting from its negligence and the negligence of its employees and agents. Neither party agrees to insure, defend, or indemnify the other.

f. Nondiscrimination. The parties shall comply with the Civil Rights Act of 1964, the Wyoming Fair Employment Practices Act, Wyo. Stat. § 27-9-105, *et seq.*, the Americans With Disabilities Act (ADA), as amended, 42 U.S.C. § 12101, *et seq.*, and the

Age Discrimination Act of 1975 and any properly promulgated rules and regulations thereto, and shall not discriminate against any individual on the grounds of age, sex, creed, color, race, religion, national origin, ancestry, pregnancy, or qualifying disability in connection with the performance under this MOU.

g. Governmental Immunity. The City does not waive governmental immunity by entering into this MOU and specifically retains all immunities and defenses available to it as a governmental entity pursuant to Wyo. Stat. § 1-39-101, *et seq.*, and all other applicable laws. Designation of venue, choice of law, enforcement actions, and similar provisions should not be construed as a waiver of governmental immunity.

h. Third-Party Beneficiary Rights. The parties do not intend to create in any other individual or entity, the status of third-party beneficiary and this MOU shall not be construed so as to create such status. The rights, duties, and obligations contained in this MOU shall operate only between the parties to this MOU and shall inure solely to the benefit of the parties to this MOU. The provisions of this MOU are intended only to assist the parties in determining and performing their obligations under this MOU. The parties to this MOU intend and expressly agree that only party signatory to this MOU shall have any legal or equitable right to seek to enforce this MOU, to seek any remedy arising out of a party's performance or failure to perform any term or condition of this MOU, or to bring an action for the breach of this MOU.

i. Force Majeure. The performance of this MOU by the parties shall be subject to force majeure including, but not limited to, acts of God, fire, flood, natural disaster, war or threat of war, acts or threats of terrorism, civil disorder, unauthorized strikes, governmental regulation or advisory, recognized health threats as determined by

the World Health Organization, the Centers for Disease Control, or local government authority or health agencies (including, but not limited to, the health threats of COVID-19, H1N1, or similar infectious diseases), curtailment of transportation facilities, or other similar occurrence beyond the control of the parties, where any of those factors, circumstances, situations, or conditions or similar ones prevent, dissuade, or unreasonably delay the performance required by this MOU. This MOU may be cancelled by any party, without liability, damages, fees, or penalty, and any unused deposits or amounts paid shall be refunded, for any one or more of the above reasons, by written notice to the other parties.

j. Severability. If any provision of this MOU is found to be invalid or unenforceable for any reason, the remaining provisions will continue to be valid and enforceable. If a court finds that any provision of this MOU is invalid or unenforceable, but that by limiting such provision it would become valid and enforceable, then such provision will be deemed to be written, construed, and enforced as so limited.

k. Notice. All notices arising out of or from the provisions of this MOU shall be in writing and given to the parties either by regular mail or delivery in person.

l. Termination. Any party may terminate its participation in this MOU by providing thirty (30) days written notice to other party.

m. Prior Approval. This MOU shall not be binding upon the parties, no services shall be performed under the terms of this MOU, and no payments shall be made until this MOU has been reduced to writing and approved by all necessary authorities.

n. Entirety of Contract. This MOU represents the entire and integrated agreement between the parties and supersedes all prior negotiations, representations, and

agreements, whether written or oral.

7. Signatures. In witness thereof, the parties to this MOU, through their duly authorized representatives, have executed this MOU on the days and dates set out below and certify that they have read, understood, and knowingly and voluntarily agreed to the terms and conditions of this MOU.

CAN

Date

By:

John Robitaille, Carbon Asset Network

City of Cheyenne

Date

By:

Patrick Collins, Mayor

(SEAL)

Attest:

Kristina F. Jones, City Clerk